

Statement of the United States

October Term, 1941

UNITED STATES OF AMERICA,

Petitioner,

VERSUS

Respondent.

**IN WRIT OF HABEAS CORPUS IN THE
UNITED STATES Circuit Court of Appeals
for the District of Columbia**

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QUESTIONS PRESENTED

1. Did the government's contractual obligations include a commitment that Glendale Federal Bank could use goodwill as capital amortized over 40 years, in lieu of cash assistance, to offset the excess liabilities of a failing thrift and thereby make Glendale's merger with that thrift financially feasible?

2. Did the Federal Savings and Loan Insurance Corporation have authority to incur this contractual obligation?

3. Is the United States liable in damages for its failure to perform its contractual obligation?

RULE 29.6 STATEMENT

Respondent Glendale Federal Bank, FSB has no parent or subsidiary companies (other than wholly owned subsidiaries).

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STATUTORY PROVISIONS AND COURT RULE INVOLVED

The relevant provisions of two statutes and a United States Court of Federal Claims Rule are set forth in the appendix included at the end of this brief.

STATEMENT OF THE CASE

This case involves three separate actions that were consolidated for appeal by the Court of Federal Claims.¹ This brief is filed on behalf of Glendale Federal Bank, FSB, respondent in one of the consolidated actions.

1. In 1981 the government entered into a contract with Glendale Federal Bank pursuant to which Glendale agreed to assume, through a merger, the government's financial liability for a failing Florida thrift, First Federal Savings and Loan Association of Broward County ("Broward"). At the time, Broward was insolvent, and its excess liabilities of \$734 million represented a direct demand on the government's deposit insurance fund. Glendale's agreement to assume Broward's liabilities allowed the government to avoid seizing Broward, saving the government, by its own estimate, more than \$783 million in liquidation costs. To induce Glendale to acquire Broward, the government promised Glendale that Broward's excess liabilities would be offset—not by cash assistance, which the government was unable to provide, but with a comparable asset, "goodwill," which Glendale could amortize over 40 years.

Glendale has *fully* performed its own contract obligations. It assumed financial responsibility for Broward's \$734 million in excess liabilities, and thereby completely *eliminated* the government's insurance exposure of more than \$783 million arising from Broward's previously imminent failure. In 1989, however, the government repudiated its part of the bargain and required Glendale im-

¹ Throughout the trial court proceedings, ~~that~~ court was known as the United States Claims Court; for convenience, this brief nevertheless refers to the trial court by its current name, the Court of Federal Claims.

mediately to deduct a major portion of the contractually-promised goodwill from its books and to eliminate the rest within five years. Both courts below held, based on the language of Glendale's contract and the uncontroverted facts of record, that the government thereby breached its "express contractual obligation," Pet. App. 17a, to Glendale and is therefore liable for damages.

2. In arguing otherwise, the government's brief completely ignores the most significant federal role with respect to this case: that of deposit insurance provider. Under the National Housing Act of 1934 ("Act"),² the government chartered and operated the Federal Savings and Loan Insurance Corporation ("Insurance Corporation" or "FSLIC"), which insured deposit accounts at savings and loans (or "thrifts"), upon payment of premiums and other costs. 12 U.S.C. § 1724 (1988) (repealed 1989). In the Act, Congress provided depositors with an enforceable right to obtain deposit insurance proceeds upon the default of an insured institution. 12 U.S.C. § 1728 (1988) (repealed 1989).

To secure depositors' insurance rights, the Act gave the Insurance Corporation broad authority to protect its deposit insurance fund, including the authority, upon default of an insured thrift, to take over and operate the institution, to provide it with financial assistance, to liquidate it, to merge it with another insured institution, or to take other appropriate actions. 12 U.S.C. § 1729(b)-(f) (1988) (repealed 1989). At the time of the Glendale/Broward merger in 1981, the Act broadly authorized the Insurance Corporation "[t]o make contracts," 12 U.S.C. § 1725(c)(3) (1976) (repealed 1989), and also specifically authorized it, "in order to facilitate a merger" of a failing thrift with another insured institution, to "guarantee such other insured institution against loss by reason of its merging . . . with" the failing thrift. 12

² Pub. L. No. 73-479, 48 Stat. 1246 (1934) (codified as amended at 12 U.S.C. §§ 1701-1750g (1988)).

U.S.C. § 1729(f)(2) (Supp. V 1982) (amending 12 U.S.C. § 1729(f) (1976)) (repealed 1989) (emphasis added).

3. Beginning in the late 1970's, rampant inflation and related high interest rates caused an unprecedented number of thrift institutions to fail. In an effort to avoid liquidations accompanied by costly insurance payouts, the Insurance Corporation and its operating head, the Federal Home Loan Bank Board (the "Bank Board" or "FHLBB"), see 12 U.S.C. § 1725(a), began to encourage healthy thrifts to merge with failing ones.³ Because the government had no authority to force healthy thrifts to engage in such mergers, and because the failing thrifts were by definition insolvent, the Insurance Corporation had to provide sufficient consideration to induce healthy thrifts to merge with failing thrifts. The forms of consideration available to the Insurance Corporation included direct cash assistance, which it provided to facilitate many early mergers. See C.A. App. 1744; see also Pet. App. 5a. However, in light of the large number of failing thrifts, by 1981 the Insurance Corporation could no more afford cash-assisted mergers than it could afford the cost of paying off depositors in liquidations. C.A. App. 1751. Therefore, the Insurance Corporation used its statutory contracting powers to provide non-cash inducements.

Chief among the available cash substitutes was the government's mandated use of goodwill and the "purchase method" of accounting, which is a generally accepted accounting principle ("GAAP") used to account for business combinations in all industries.⁴ Under the purchase method of accounting, the surviving entity in a merger records as "goodwill" any excess of the purchase price (including, as here, the liabilities assumed) over the fair

³ C.A. App. 1749 (statement of Richard T. Pratt). See also 135 Cong. Rec. H2706 (daily ed. June 15, 1989) (statement of Rep. Crane) ("these acquisitions saved the government at least \$13 billion" in the 1980s).

⁴ See Accounting Principles Board Op. No. 16 ¶ 66 (1970).

value of the acquired company's assets. See Pet. App. 6a; J.A. 575-77. Goodwill is an asset which, like other assets, is amortized (*i.e.*, deducted from earnings) incrementally over a specified time period. J.A. 572. The appropriate amortization period is determined on a case-by-case basis, although in 1981 GAAP required a fixed period of up to 40 years. *Id.* at 573.

Through use of purchase method accounting, the Insurance Corporation was able to facilitate workable mergers of failing thrifts with healthy ones even while it was cash poor. A thrift's net worth (or capital, *see infra* note 16) determined the amount of income-producing loans and other assets the thrift could hold. See 12 C.F.R. § 563.13 (b) (1981). Therefore, recognition of goodwill as part of net worth permitted the acquiring thrift to hold, over the amortization period, a greater amount of income-producing assets and thereby to obtain greater earnings. See H.R. Rep. No. 54(I), 101st Cong., 1st Sess. 533 (1989). These increased future earnings, which the acquiring thrifts were able to obtain under the Insurance Corporation's goodwill agreements, both (a) compensated the acquiring thrifts for assuming the government's deposit insurance liabilities, and (b) reduced, over time, the Insurance Corporation's insurance risk on the deposits of the surviving thrifts by replacing the gradually-amortizing goodwill with newly-generated retained earnings. See *id.* at 498. This process was particularly effective where, as here, the government's contracting partner was a healthy, well-run institution with substantial pre-existing net worth. The process also allowed the Insurance Corporation to conserve its dwindling cash for use when liquidations were unavoidable.⁵

As former Bank Board Chairman Richard Pratt testified to Congress:

⁵ *E.g.*, C.A. App. 1744 (excerpt, GAO Report to Congress) ("The innovative assistance methods initiated by FSLIC in 1981 minimized FSLIC's immediate cash outlays."); see 135 Cong. Rec. H2703 (daily ed. June 15, 1989) (statement of Rep. Hyde) (goodwill was used by the Insurance Corporation as "an inducement to the healthy savings and loans to merge with the sick ones").

The Bank Board . . . did not have sufficient resources to close all insolvent institutions, [but] at the same time, it had to consolidate the industry, move weaker institutions into stronger hands and do everything possible to minimize losses during the transition period. *Goodwill was an indispensable tool in performing this task.*

C.A. App. 1751 (emphasis added).

4. In September 1981, Glendale was approached about merging with Broward, Pet. App. 8a, which then had liabilities that exceeded the fair value of its assets by more than \$734 million, J.A. 644, and which had been losing millions of dollars per month for some time. *Id.* at 634, 644. The Insurance Corporation projected that Broward soon would fail; it therefore faced an enormous impending liability, and, unless some alternative solution were found, estimated it would incur real cash costs to liquidate Broward of more than \$783 million. *Id.* at 615.⁶

Glendale was then, and always had been, both profitable and well-capitalized. *Id.* at 636. Glendale's net worth prior to the Broward merger was \$277 million, or 5.45% of its total assets, well in excess of the 4% that the Insurance Corporation then required. See C.A. App. 1764. Even so, Glendale's capital was inadequate—by hundreds of millions of dollars—to absorb Broward's \$734 million capital deficiency. Glendale, therefore, could not even have considered the merger unless the Insurance Corporation provided sufficient consideration to offset Broward's crippling excess liabilities. J.A. 645.

As a result of their negotiations, the government and Glendale focused on use of purchase method accounting and resulting goodwill to provide the necessary considera-

⁶ In fact, the immediate cash demand would have been far greater. The Insurance Corporation projected an initial cash outlay of \$1.8 billion to pay Broward's depositors and other creditors, followed by the eventual recoupment of about \$1 billion through sales of Broward's loans and other assets. See J.A. 586.

tion. *Id.* at 635. Glendale explored a possible cash contribution, in lieu of some or all goodwill, *see* C.A. App. 1823, but the government never pursued that alternative. J.A. 635, 644-45. Accordingly, when Glendale and the Insurance Corporation reached an agreement in principle in October 1991, the parties agreed to financial terms that ultimately required no assistance from the government other than its commitment to allow Glendale the use of goodwill amortized over 40 years. *Id.* at 635-36. The only other financial term of the agreement was a provision partially protecting *both* parties from interest rate fluctuations. *Id.* at 591-93. Pursuant to that provision, Glendale later *paid* the Insurance Corporation \$18.24 million. *Id.* at 646.

Glendale negotiated and obtained the government's agreement to the longest permissible amortization period under GAAP—40 years for most of the goodwill, and 12 years for a small portion. *Id.* at 629-34, 636-37, 640.⁷ Had the government agreed only to a shorter amortization period—and thus a shorter period of increased future assets and earnings for Glendale, *see supra* p. 4—Glendale would have required additional consideration in cash or some other form, if it were willing to proceed with the Broward merger at all. *Id.* at 630-31, 636-37.⁸

Each draft of the "Supervisory Action Agreement" or "SAA" that Glendale and the Insurance Corporation ex-

⁷ *See also* J.A. 575-77. As the three cases consolidated here illustrate, the government often bargained for amortization schedules different from the maximum permissible period, just as it negotiated other financial terms and often agreed to "capital credits," Pet. App. 5a, some amount of cash assistance, *see id.* at 193a, and other non-cash forms of assistance, *see id.* at 5a-7a.

⁸ Glendale's merger agreement with Broward was expressly conditioned upon the government's execution of a "Supervisory Action Agreement" that was "satisfactory in form and substance to Glendale" and did not impose "any conditions to which Glendale has not agreed." J.A. 579. Glendale thus retained the express right to walk away from the merger if it could not reach a final, acceptable agreement with the government.

changed had attached a two-page list of additional matters to cover. *See* C.A. App. 1478-79, 1504-05, 1527-28, 1593-94. All these drafts contained the following provision as item number "6" on the list:

Glendale's method of accounting for the transaction as a purchase, including periods for amortization of goodwill and discount on loans, to be approved.

Id. at 1479, 1505, 1527, 1593 (emphasis added). On November 13, 1981, Glendale submitted to the Bank Board its formal proposal for the merger on the terms earlier agreed in principle, *id.* at 1861-62, which included an opinion letter from Glendale's accountants regarding the proposed use of purchase method accounting and 40-year amortization for goodwill. J.A. 575-77. In response, the government forwarded drafts it had prepared of documents addressing various agreed terms, but "[w]ith respect to item 6," concerning the proposed accounting and 40-year amortization, the government requested more detailed information. *Id.* at 581. The next day Glendale provided the requested information. *Id.* at 583-84.

At a meeting held November 19, 1981, the Bank Board ratified the agreement with Glendale.⁹ The Insurance Corporation's Director opened the discussion at the meeting

⁹ In so doing, the Bank Board considered a detailed package of information about the transaction, C.A. App. 1758-1823. This included (1) final drafts of the SAA, *id.* at 1775, and related Bank Board Resolutions Nos. 81-710, 81-711 and 81-712, *id.* at 1768-73, which expressly required use of purchase method accounting; (2) Glendale's accountants' November 10, 1981 opinion letter, as well as the Insurance Corporation's own summary of the agreed-upon use of purchase method accounting for the merger (including 40-year amortization), *id.* at 1797-98; (3) the Insurance Corporation's calculations showing that, after assuming Broward's excess liabilities, Glendale would continue to satisfy applicable regulatory requirements if the offsetting goodwill were included in Glendale's capital, but would *not* satisfy those requirements if the goodwill were *not* included, *id.* at 1764, 1802; and (4) the Insurance Corporation's financial analyses showing the \$783 million cost to liquidate Broward, *id.* at 1802-05; *see also* J.A. 586.

by stating that “[t]he major elements of the *agreement* [include] the use of purchase accounting.” J.A. 614 (emphasis added). He then recommended that the Bank Board approve and implement the agreement with Glendale, *id.* at 616, because:

— “[A]bsent a merger as contemplated, it would be necessary to provide a substantial capital infusion into Broward to avert insolvency and a possible liquidation with a payment to insured savers.” C.A. App. 1765.¹⁰

— “[I]n my judgment, I don’t think we’ll ever see a *deal* like this one again in terms of its benefit to the FSLIC. . . . It’s an incredible opportunity for the FSLIC and the Bank Board to show how a large problem can be resolved with minimal expense and should build a great deal of confidence in the industry.” J.A. 615 (emphasis added).

At the conclusion of the November 19 meeting the Bank Board ratified the agreement with Glendale by adopting several resolutions. *Id.* at 605-612. In Resolution No. 81-710, *id.* at 605, which was incorporated by reference into the SAA, *id.* at 598-99, the Bank Board, among other things, (i) authorized the Insurance Corporation to enter into the contract; (ii) required that Glendale “submit a stipulation that any goodwill arising from the transaction shall be determined and amortized in accordance with FHLBB Memorandum R-31b,” *id.* at 607, the Bank Board’s then-existing statement of requirements for treatment of goodwill as net worth in thrift mergers; (iii) required that Glendale, following the merger, furnish an accountant’s letter “satisfactory to the [Bank Board’s] Supervisory Agent,” *id.* at 607, confirming Glendale’s use of purchase accounting for the merger, which letter was submitted and accepted, and reflected the parties’ agreement to amortize nearly all of Glendale’s goodwill “over 40 years,” *id.* at 624; *see* Pet. App. 21a;

¹⁰ The government had explored other alternative solutions, and approached other potential acquirors, without success. J.A. 614-15.

and (iv) affirmed that the transaction was necessary “to prevent the failure of Broward,” J.A. 605. At the meeting, the Bank Board members and staff also specifically addressed and agreed to the 40-year goodwill amortization period. *Id.* at 616.

The Bank Board Chairman closed the meeting by observing that “the solution which FSLIC has found is one which appears to save the people of the United States . . . approximat[ely] three quarters of a billion dollars.” *Id.* at 617. Contemporaneously with the issuance of the Bank Board resolutions mentioned above, the Insurance Corporation and Glendale executed the SAA, *id.* at 645, and the merger of Broward into Glendale became effective.

Following the merger, Glendale honored and fully performed all its obligations under the contract with the government (including paying the government \$18.24 million pursuant to the contract’s interest rate protection terms). *Id.* at 646-47. For the first eight years following the parties’ agreement, the government likewise honored its commitments concerning goodwill and its amortization. *Id.*

5. In the late 1980’s the government began to rethink its earlier contractual commitments with respect to goodwill (and other intangible assets). H.R. Rep. No. 54(I) at 507-08. In 1989 Congress enacted the Financial Institutions Reform, Recovery and Enforcement Act of 1989, Pub. L. No. 101-73, 103 Stat. 183 (codified at 12 U.S.C. § 1464, *et seq.* (1994)) (“FIRREA”), which, among other things, required new thrift capital standards disallowing use of “unidentifiable intangible assets”—*i.e.*, goodwill. *See* Pet. App. 203a. FIRREA led the Office of Thrift Supervision (“OTS”) to adopt regulations providing that Glendale “must deduct” from its regulatory capital the goodwill acquired in the Broward merger. 12 C.F.R. § 567.9(c) (1990); *see also id.* § 567.5(a)(2). Thus, having used this “indispensable tool” in 1981 to induce Glendale to agree to take on Broward’s massive excess liabilities, in 1989 the government changed its mind

and deprived Glendale of the contracted-for consideration. At the same time, the government retained the \$783 million benefit of Glendale's performance.

The government's "must deduct" edict required Glendale to deduct from its regulatory capital hundreds of millions of dollars of goodwill the government had promised in the contract and forced Glendale either to replace the lost capital with cash or dramatically reduce its earning assets, or both, to avoid regulatory seizure. See Pet. App. 119a-120a. Glendale in fact fell out of regulatory capital compliance for the first time in its history. *Id.* at 14a. After restructuring and divesting billions of dollars of income-producing assets in an effort to return to capital compliance, Glendale came within weeks of seizure and liquidation. *Id.*

In its brief, the government dryly notes that Glendale "raised the necessary new capital" and "has remained an operating thrift." Pet. Br. 7. In fact, Glendale narrowly avoided seizure (and saved the government's insurance fund from large losses a *second* time) only by completing a complex \$668 million recapitalization—the largest *entirely private* recapitalization of a troubled financial institution in United States history. Glendale today is a "well-capitalized" institution, as it was in 1981 and at all times prior to FIRREA. The government thus neatly transferred its own massive insurance liabilities arising from Broward's insolvency to Glendale, saving itself more than three-quarters of a billion dollars and causing severe harm to Glendale's operations and earnings.

6. In 1990, Glendale filed suit against the United States in the Court of Federal Claims, seeking monetary relief under various contract and constitutional claims. The court granted Glendale's motion for partial summary judgment on contract liability, based on the language of Glendale's contract and the uncontroverted facts and affi-

davits.¹¹ The court then consolidated Glendale's case with the *Winstar* and *Statesman* cases for purposes of interlocutory appeal. Pet. App. 151a-152a.

A split panel of the Federal Circuit, over the dissent of Judge Newman, *id.* at 89a-103a, initially reversed the Court of Federal Claims' decision. The full court, however, ordered the panel decision vacated and withdrawn when it agreed to rehear the case *en banc*. *Id.* at 105a. The *en banc* Federal Circuit then affirmed the trial court's breach of contract rulings by a 9-2 vote. After "*de novo*" review of the contract documents, *id.* at 17a, the *en banc* court specifically "agree[d]" with the trial court that the government had stated "*in the clearest possible terms,*" *id.* at 17a, 36a, an "express contractual obligation" to permit Glendale to count the goodwill generated in the Broward merger "as a capital asset for regulatory capital purposes" and "to amortize the major portion of that goodwill . . . for a period of 40 years." *Id.* at 17a. The Federal Circuit also found the parties' clear contractual intent confirmed by their conduct and the circumstances surrounding the transaction, including the "extensive negotiations and . . . conditions" regarding the use of goodwill, *id.* at 22a, and the fact that, if the offsetting \$734 million of goodwill had not counted as a capital asset, Glendale—a "healthy, fully capitalized thrift" *before* the Broward merger—would have had a net worth immediately *following* the merger of *negative* \$460 million. *Id.* at 22a n.5.¹²

The Federal Circuit also agreed there was "little question that the application of FIRREA and the regulations

¹¹ The court held, among other things, that "an express contract existed," Pet. App. 122a, which "called for the use of the purchase method of accounting and the amortization of an intangible supervisory goodwill asset over . . . forty years," *id.* at 119a.

¹² As the *en banc* Federal Circuit noted, absent the government's contractual goodwill commitments, Glendale "would have been subject to regulatory noncompliance and penalties from the moment" it merged with Broward, a transaction "no healthy thrift would consummate." Pet. App. 22a.

thereunder to deny or restrict [Glendale's] contractual rights to use supervisory goodwill with the associated amortization periods . . . was a breach of the FSLIC's and the Bank Board's agreement[] with Glendale. *Id.* at 29a. The Federal Circuit rejected the government's contracting authority and "sovereign acts" arguments, adopting the substance of the Court of Federal Claims' analysis of these issues. *Id.* at 31a.¹⁸

SUMMARY OF ARGUMENT

I. The government's first argument is that Glendale's contract with the Insurance Corporation was not "unmistakably" clear in providing Glendale with a right to use goodwill amortized over 40 years and thus, because the contract would affect the government's regulatory prerogatives, Glendale's contract right is unenforceable. The argument is wrong both legally and factually.

As a matter of law, the unmistakability principle does not apply at all to damages claims to enforce rights in financial contracts entered into by the government. Glendale's contract is plainly a financial contract; Glendale assumed \$734 million of the government's own liabilities as an insurer.

Most important, as both courts below held, Glendale's contract "granted [Glendale], in the clearest possible terms, the right to certain types of regulatory capital treatment." Pet. App. 36a (emphasis added); *id.* at 142a-

¹⁸ In dissent, Judge Lourie agreed with the *en banc* majority that Glendale has the contract rights it claims and that the government abrogated those rights following FIRREA. Pet. App. 49a. He nevertheless argued that sovereign acts principles precluded Glendale's recovery for breach of contract. *Id.*

The other dissenter, Judge Nies, also found that Glendale and the government had agreed on the use of purchase method accounting but concluded that, to create enforceable rights that survived legislative change the contract had to have a second explicit promise by FSLIC "to pay [damages] if Congress decided to step in and do away with . . . 'purchase method . . . accounting.'" *Id.* at 48a.

143a. Glendale's contract thus meets the test of unmistakability.

The government insists that the contract must contain unspecified magic words to satisfy "unmistakability," but that is not the law. The unmistakability principle is designed to effectuate the government's purpose, not to frustrate that purpose. Thus, the test is whether the government's intent to make a contractual commitment "satisfactorily appears" from the terms used by the parties and the surrounding circumstances, particularly when as here the sole dispute is the "scope" of a government contract, not whether a contract exists at all. *E.g., Russell v. Sebastian*, 233 U.S. 195, 204-05 (1914).

Here, the government's contractual intent is clear, unmistakable, and uncontroverted. As demonstrated *infra*, at pp. 20-22, the bargained-for, express provisions of Glendale's contract with the Insurance Corporation ineluctably lead to the term that "[p]ursuant to the provisions of . . . the Supervisory Action Agreement" not only does Glendale have a contractual right to use Goodwill as capital, but also "\$18,000,000 of the resultant goodwill . . . will be amortized on a straight line basis over 12 years" and the "remaining goodwill of \$716,666,000 will be amortized on a straight line basis over 40 years." J.A. 623-24. This provision therefore constitutes an enforceable term of Glendale's contract.

The government's alternative argument under the rubric of unmistakability is that to be binding, a government contract needs a second promise that Congress would not enact "new regulatory legislation." Pet. Br. 22. This theory is contrary to a host of precedents from this Court including *Perry v. United States*, 294 U.S. 330 (1935), and *Lynch v. United States*, 292 U.S. 571 (1934), where the binding contracts contained no "second" promises. Moreover, Glendale's contract contains express provisions that more clearly allocate to the gov-

ernment the financial risk of a statutory change than any contractual provision in *Perry* or *Lynch*.

The plain meaning of the Glendale contract is further supported by precedent that this Court will not interpret federal contracts, or use the unmistakability principle, to produce a financially irrational transaction for the private party. *E.g.*, *United States v. Purcell Envelope Co.*, 249 U.S. 313, 322 (1919); *The Binghamton Bridge*, 70 U.S. (3 Wall.) 51, 78 (1865). It would have been irrational in 1981 for a healthy, solvent Glendale, which had \$277 million of its own existing net worth at stake, to agree to assume \$734 million of excess thrift liabilities without the binding protection provided by the government's contractual goodwill commitments.

Indeed, it is *uncontroverted* that "[h]ad the government not agreed" to its goodwill commitments, "Glendale would not and could not have entered into the transaction." J.A. 645 (emphasis added). It is further *uncontroverted* that the Insurance Corporation "agreed that Glendale would use the purchase method to account for the transaction; that the \$734,660,000 in resulting goodwill could be used as an asset for regulatory capital purposes . . . and that most of the goodwill would be amortized over forty years." *Id.* Under the rules applicable to Court of Federal Claims cases, *see infra* A3-A4, the courts will "deem . . . established" these *uncontroverted dispositive* facts. R.C.F.C. 56(d)(3) (1992).

II. The government's arguments that the Insurance Corporation lacked authority to contract to recognize Glendale's goodwill are contrary to this Court's precedents. First, "the power [of a government] to enter into effective financial contracts cannot be questioned." *United States Trust Co. v. New Jersey*, 431 U.S. 1, 24 (1977). Second, outside the uniquely important areas of the public health and the public morals, the government may make contracts, fully enforceable in damages, that touch upon regulatory matters, notwithstanding the government's later self-serving invocation of the "police power." *E.g.*, *Perry*,

294 U.S. at 343, 348-50, 353. Third, the Insurance Corporation's specific statutory authority under 12 U.S.C. § 1729(f)(2) (Supp. V 1982) "to guarantee [the acquiring institution] against loss," as well as the Insurance Corporation's comprehensive statutory authority under 12 U.S.C. § 1725(c)(3) (1976) "[t]o make contracts," amply authorized the Insurance Corporation's contract with Glendale under the test applicable to federal agency contracts. *See, e.g.*, *Lynch*, 292 U.S. at 577-78; *Jessup v. United States*, 106 U.S. 147, 152 (1882).

III. The government's "sovereign acts doctrine" argument also is unfounded and contrary to this Court's precedent. *Perry* and *Lynch* both reject using the fact that a statute applies to more than government contracts as a basis for relieving the government of its contractual liability for damages. Indeed, the impact of the statutory provisions here is far more focused on government contracts, and thus less "general," than the statutes at issue in *Perry* and *Lynch*. Moreover, the government improperly seeks to give FIRREA's goodwill provisions a retroactive effect—to bar damages on pre-existing contracts—even though the government concedes that Congress has not spoken at all, much less "clearly spoken," to that issue. *Landgraf v. USI Film Prods.*, 114 S. Ct. 1483, 1507 (1994).

ARGUMENT

The three issues raised by the government are versions of issues commonly found in contract cases: (1) Did the government's contractual obligations include a commitment that Glendale could use goodwill as capital amortized over 40 years, in lieu of cash assistance, to offset Broward's excess liabilities and make the merger financially feasible? (2) Did the Insurance Corporation have authority to incur this contractual obligation? (3) Is the United States liable in damages for its failure to perform its contractual obligation? Clear precedent from this Court requires an affirmative answer to each question.

I. THE GOVERNMENT'S CONTRACT CLEARLY RECOGNIZED GLENDALE'S RIGHT TO USE GOODWILL FOR CAPITAL IN ACCORDANCE WITH GAAP.

The government's case rests principally on three flawed propositions. First, the government contends that Glendale's contract to assume the Insurance Corporation's financial liabilities should not be treated as an ordinary contract. Pet. Br. 17-19. Second, notwithstanding overwhelming and undisputed evidence to the contrary, the government contends that it did not express in unmistakable terms an intent to permit Glendale to use goodwill as capital to be amortized over a 40-year period. *Id.* at 22-28. Third, the government contends that if such a promise concerning goodwill were made, Glendale still has no contractual rights because "unmistakability" requires a second promise that Congress would not enact "new regulatory legislation." *Id.* at 22. The first proposition ignores long-standing precedents of this Court which recognize that the government's financial contracts should be enforced pursuant to ordinary contract law principles. *See infra*, pp. 16-18. The second proposition is belied by: (1) the express terms of the agreement; (2) settled case law that the government's contractual obligation must be interpreted not to be a gross mismatch against the value of the consideration that the government received in the agreement; and (3) *uncontroverted* facts concerning the government's contractual intent. All of these (singly and in combination) make the government's contractual intent clear and manifest. *See infra*, pp. 18-24, 29-34. The third proposition is contrary to settled law—particularly *Perry* and *Lynch*—and also ignores express provisions in Glendale's contract. *See infra*, pp. 26-28.

1. *The Financial Contract Here Does Not Infringe The Government's Sovereign Authority, And Therefore The Unmistakability Principle Does Not Apply.* Although, as both courts found below, the standard of unmistakability is easily satisfied in this case, the government's

attempted use of this standard is misplaced, because paying damages for breaching the financial contract at issue does not infringe the government's sovereign authority in the first place. Both its context and its terms demonstrate that the agreement between the Insurance Corporation and Glendale was a financial contract, whereby Glendale agreed to assume net liabilities of \$734 million from the government, as insurer of Broward's deposits, in return for the essential consideration provided by the government through its agreement to recognize "goodwill . . . amortized . . . over 40 years," which both parties understood to be a substitute for a cash infusion. J.A. 577, 584, 616-17.

Glendale does not contend that the Insurance Corporation "bargained away Congress's right to change the law." Pet. 14. Rather, Glendale seeks only compensation for the government's breach of its contractual obligation to provide equivalent value for the benefit the Insurance Corporation received from Glendale's assumption of the Corporation's insurance liabilities. Providing compensation for the government's failure to fulfill its financial contract does not require the government to "surrender[] an essential attribute of its sovereignty." *United States Trust Co.*, 431 U.S. at 23; *see New Orleans Gas Light Co. v. Louisiana Light & Heat Prod. & Mfg. Co.*, 115 U.S. 650, 672-73 (1885) (payment of damages for repudiating grant of monopoly to public utility does not infringe sovereign authority).

Far from infringing sovereign authority, making enforceable contracts designed to assist the government financially is the very essence of sovereign authority. *Perry*, 294 U.S. at 353. Thus, this Court has stated that "[w]hatever the propriety of a State's binding itself to a future course of conduct in other contexts, the power to enter into effective financial contracts cannot be questioned." *United States Trust*, 431 U.S. at 24 (emphasis added). Indeed, the government concedes that "purely financial contractual obligations" of the government are

not subject to the unmistakability principle. Pet. Br. 20 n.9, 41-42.

Glendale's point is not that the unmistakability principle has no application to *any* claim for breach-of-contract damages. Rather, the principle does not apply to a damages claim for the government's breach of a contract entered into *for its own financial benefit*. Glendale's contract is precisely that. Ordinary rules of contract interpretation therefore apply.

2. *Even If Unmistakability Applies, It Is Satisfied In This Case, As Both Courts Below Found.* Of course, this Court need not even decide whether the unmistakability principle applies in this case, because, as both courts below held, the evidence overwhelmingly demonstrates the government's unmistakable intent to permit, indeed require, Glendale to use goodwill as capital to be amortized over 40 years. Contrary to the government's arguments, Pet. Br. 20-22, neither court below refused to apply unmistakability principles. The Court of Federal Claims found that "there has been little serious dispute that the government granted the acquiring thrifts, *in the clearest possible terms*, the right to certain types of regulatory capital treatment." Pet. App. 142a-143a (emphasis added). The Federal Circuit concurred, stating "[i]t is clear from the documents that this was the intent of the parties." *Id.* at 22a (emphasis added). As demonstrated herein, the scope of the government's contractual commitment regarding goodwill is clear from the terms adopted as part of the government's agreement, the value of the consideration the government accepted from Glendale, and the *undisputed* facts and evidence in this case.

a. *Unmistakability Addresses Intent, Not Formality.* The unmistakability principle simply requires a showing of the government's clear contractual intent. *See, e.g., Binghamton Bridge*, 70 U.S. (3 Wall.) at 74 ("All contracts are to be construed to accomplish the intention of the parties."). There are no specific words or forms that must be used. Rather, unmistakability "does not deny to public [contracts] a fair and reason-

able interpretation" and is satisfied whenever the government's contractual intent "satisfactorily appears" from the terms of the parties' agreement and the surrounding circumstances. *Russell v. Sebastian*, 233 U.S. 195, 205 (1914). This Court has scorned use of the unmistakability principle to create a "narrow and technical" construction of a contract that "would defeat the very end the [government] had in view." *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78; *see* Restatement (Second) of Contracts § 202(1) (1981) ("[w]ords and other conduct are interpreted in the light of all the circumstances, and if the principal purpose of the parties is ascertainable it is given great weight").

Any interpretation of the judge-made unmistakability principle also must be consistent with Congress's direction in the Tucker Act that the United States may be liable "upon any express *or implied* contract." 28 U.S.C. § 1491 (1994) (emphasis added). This statutory recognition of "implied" contracts precludes the government's effort to use unmistakability to require specific words or forms. Rather, as the Contract Clause precedent makes clear, "an implied contract" with the government can satisfy the unmistakability requirement of clear intent. *Mississippi ex rel. Robertson v. Miller*, 276 U.S. 174, 178-79 (1928).¹⁴

b. *Unmistakability Is More Easily Satisfied When A Contract Clearly Exists And The Only Question Is Its Scope.* A "narrow and technical" construction of the parties' undertakings would be particularly unwarranted in

¹⁴ *See also Columbia Ry., Gas & Elec. Co. v. South Carolina*, 261 U.S. 236, 250 (1923) (unmistakability satisfied by "clear implication" or by "inference . . . which naturally flows" from the contract as a whole) (emphasis added). The government's cases are not to the contrary. *See, e.g., Providence Bank v. Billings*, 29 U.S. (4 Pet.) 514, 560 (1830) ("[n]o words" in bank charter showing "a promise, either express *or implied*, not to tax the bank") (emphasis added). For a thorough discussion of how Contract Clause precedent refutes the government's arguments on each of the three questions presented, *see* Brief for Amicus Curiae American Association of State Colleges and Universities, *et al.*

this case because the issue here is not the existence of a contract between the Insurance Corporation and Glendale, which the government does not deny, *see* Pet. Br. 14, but rather the scope of the government's obligation under that contract. As this Court held in *Russell*: "When . . . the question simply is with respect to the scope of the [government's] obligation, we should be slow to conclude that only a revocable license was intended." 233 U.S. at 204. Indeed, this Court has emphasized that questions of federal contract *scope* are "determined by the application of the same principles as if the contract were between individuals." *Reading Steel Casting Co. v. United States*, 268 U.S. 186, 188 (1925).¹⁵

3. *The Government's Clear Intent Is Evident From The Terms Of The Agreement, The Value Of The Consideration Provided By Glendale, And The Undisputed Facts.* The evidence of the government's contractual agreement to recognize Glendale's goodwill amortized over 40 years is overwhelming. The scope of the government's contractual intent is clear not only from the language of the contract itself, but also from the extraordinary value of the consideration that the government accepted from Glendale, and from the *uncontroverted* (indeed, "established," *see, infra*, pp. 32-34) facts.

a. *The Contract Language Establishes The Government's Clear Intent.* In order to deny that its intent was unmistakably expressed in the terms of the agreement, the government purports to carve out of the SAA the very documents that form part of the contract by reference and that describe the goodwill consideration that the Insurance Corporation provided to Glendale. These are Bank Board Resolution 81-710, the Peat, Marwick, Mitchell & Co. letter required by that Resolution, which was specifically approved by the Bank Board, and Bank Board

¹⁵ *Accord Priebe & Sons v. United States*, 332 U.S. 407, 411 (1947); *United States v. Standard Rice Co.*, 323 U.S. 106, 111 (1944); *United States v. Bethlehem Steel Corp.*, 315 U.S. 289, 298 (1942); *Perry*, 294 U.S. at 352; *Lynch*, 292 U.S. at 579; *Hollerbach v. United States*, 233 U.S. 165, 171-72 (1914).

Memorandum R 31b. *See* Pet. Br. 15, 24. The government's construction of the agreement defies both common sense and basic rules of contract interpretation.

The critical terms clearly expressed in the Insurance Corporation's agreement with Glendale provide that: (1) Glendale had the right to treat goodwill as capital to offset Broward's substantial excess liabilities of \$734 million, and (2) Glendale could amortize approximately \$716 million of this asset over 40 years, and the remaining \$18 million over 12 years. Those terms are contained in documents that were included in the contract through the integration clause of the SAA, which provides:

This Agreement . . . constitutes the entire agreement between the parties thereto and supersedes all prior agreements and understandings of the parties in connection herewith, *excepting only* the Agreement of Merger and any resolutions or letters issued contemporaneously herewith.

J.A. 598-99 (emphasis added). The government ignores that the plain meaning of the integration clause is to describe those "agreements and understandings of the parties in connection herewith" that are "except[ed]" from being "superseded" by the SAA. *Id.* at 599. By the express terms of the integration clause, the contemporaneous Bank Board "resolutions [and] letters" are precisely such "except[ed]" "agreements and understandings."

It is a well established rule of contract interpretation that "[w]here a writing refers to another document, that other document, or so much of it as is referred to, is to be interpreted as part of the writing." 4 S. Williston, *A Treatise on the Law of Contracts* § 628, at 901 (3d ed. 1961). This Court has not hesitated to find the government's intent unmistakably expressed where the relevant language comes from documents referred to in the principal text memorializing a contractual agreement. *See, e.g., Humphrey v. Pegues*, 83 U.S. (16 Wall.) 244, 248 (1872) (contract referred to charter of another railroad); *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78-79.

Accordingly, it is an uncontroverted fact, *see* J.A. 641, that the SAA expressly includes Bank Board Resolution 81-710, which approved the SAA, in the terms of the agreement. In turn, that incorporated Resolution refers to two other documents that form part of the agreement. First, the Resolution provides that Glendale "shall furnish," as a condition for Bank Board approval of the transaction, an opinion from Glendale's independent accountant (Peat, Marwick) that would: (1) "specifically describe[] . . . any goodwill . . . to be recorded on Glendale's books," and (2) "substantiat[e] the reasonableness of the amounts attributed to goodwill . . . and the resulting amortization periods," based on guidelines set forth in Bank Board Memorandum R 31b. *Id.* at 607. The Resolution required that the accountant's opinion be approved as "satisfactory to the [Bank Board] Supervisory Agent." *Id.* It is undisputed that the Peat, Marwick opinion letter was submitted and was "satisfactory to the Bank Board's supervisory agent as required by the Resolution." Pet. App. 21a. In sum, the Resolution (which is expressly incorporated into the SAA) both referred to and necessarily included the Peat, Marwick opinion letter and the government's acceptance of that letter as part of the agreement of the parties.

The Peat, Marwick letter provides that "[p]ursuant to the provisions of . . . the Supervisory Action Agreement between [Glendale] and the Federal Savings and Loan Insurance Corporation . . . [Glendale has] accounted for the acquisition using the 'Purchase Method' of accounting." J.A. 623 (emphasis added). This meant that pursuant to the SAA, "\$18,000,000 of the resultant goodwill . . . will be amortized on a straight line basis over 12 years" and the "remaining goodwill of \$716,666,000 will be amortized on a straight line basis over 40 years." *Id.* at 624.

Second, the Resolution further required Glendale to submit "a stipulation that any goodwill arising from this transaction shall be determined and amortized in accordance with [Bank Board] Memorandum R 31b." *Id.* at

607 (emphasis added). The plain meaning of "stipulation" is "[a] material condition, requirement, or article in an agreement." *Black's Law Dictionary* 1269 (5th ed. 1979) (emphasis added); *see also The American Heritage Dictionary* 1267 (1976) ("a term or condition in an agreement"). It is thus difficult to imagine a clearer contractual provision that Memorandum R 31b would, as a matter of "stipulation" (*i.e.*, agreement), govern the present and future treatment of goodwill under the Resolution and thus by reference under the SAA. As adopted into the contract, Memorandum R 31b unmistakably required Glendale to use the "purchase method of accounting" under GAAP such that goodwill would be treated as an "asset" subject to "amortization" for purposes of meeting a thrift's net worth requirements. J.A. 571, 573.¹⁶ As was explained and agreed by Bank Board officials at the meeting where the Insurance Corporation agreed to enter the Glendale transaction, this meant that Glendale would amortize most of its goodwill over "40 years." *Id.* at 616.

Because Glendale's contract adopted Memorandum R 31b, its requirements, as *then in force*, became a fixed term of the contract that could not be affected by subsequent changes in regulation or government policy. *Craft Machine Works, Inc. v. United States*, 926 F.2d 1110, 1115 (Fed. Cir. 1991) ("The meaning of this contract, however, cannot change because the Government changed its interpretation of the law."); *see also Hughes Communications Galaxy, Inc. v. United States*, 998 F.2d 953, 957-58 (Fed. Cir. 1993) (when there is clause "identifying and incorporating an existing, specific and dated item of presidential policy," this "more than satisfies the 'un-

¹⁶ At that time, it was well understood that Memorandum R 31b addressed purchase method accounting and the use of resulting goodwill as an asset for purposes of meeting "net worth" (*i.e.*, capital adequacy) requirements. 47 Fed. Reg. 8152 (Feb. 25, 1982). The term "regulatory capital" was not introduced until 1986. 51 Fed. Reg. 16,550 (May 5, 1986). *See also* 12 C.F.R. § 563.13 (1981) (referring to thrift capital only as "net worth," the same term used for accounting purposes under GAAP).

mistakable terms' requirement"); *Cramp Shipbuilding Corp. v. United States*, 122 Ct. Cl. 72, 97 (1952) ("a contract can hardly mean one thing today and another tomorrow"); *see also Wood v. Lovett*, 313 U.S. 362, 369-70 (1941) (deed from state conveyed under statute protecting title unaffected by repeal of statute); *Lynch*, 292 U.S. at 577 ("The terms of these contracts are to be found . . . in part in the statutes *under which they are issued and the regulations promulgated thereunder.*") (emphasis added); *Von Hoffman v. City of Quincy*, 71 U.S. (4 Wall.) 535, 550 (1867) (dictum) (terms of contract clearly include current laws that "were expressly referred to *or incorporated*") (emphasis added). No subsequent change in regulation or government policy could change the meaning of Glendale's contract.

b. *The Contract Does Not Authorize The Government To Impose Contrary Goodwill Accounting Requirements.* The government also relies, Pet. Br. 28, upon the provision in the contract that "unlawful action" is not required. The government asserts that this somehow reserved to it the unilateral right by changing the law to alter or revoke the terms of its contractual obligations concerning goodwill. The courts below correctly concluded that this provision was simply designed to ensure compliance with the law in existence at the time the contract was entered. *See* Pet. App. 23a-24a, 125a-132a. Indeed, the government conceded in the Court of Federal Claims that the "unlawful action" provision "makes no reference to the effect of any changes in the applicable laws." C.A. App. 2222 n.16; *see also id.* at 2212 (similar concession).

In arguing now that "unlawful action" has a far broader meaning, the government ignores contract provisions that directly address the parties' ability to change their contract obligations. First, Resolution 81-710, as incorporated into the contract, requires that Glendale's goodwill "shall be determined and amortized in accordance with" *then-existing* Bank Board Memorandum R 31b. J.A. 607. Second, the SAA also provides that "[n]o . . . modification . . . of this Agreement shall be binding unless set

forth in writing and *executed by all the parties or their proper successors.*" *Id.* at 600 (emphasis added). Third, the contract provides that "[t]he rights, powers, and remedies given to the parties by this Agreement *shall be in addition to* the rights, powers and remedies given by any applicable statute or rule of law." *Id.* at 599 (emphasis added). These provisions rebut any notion that Glendale's contractual rights were subject to unilateral alteration or revocation by the government, or that Glendale's contractual rights to compensation for breach of contract could be defeated by the subsequent promulgation of "any applicable statute or rule of law."

Moreover, even assuming *arguendo* that "unlawful action" refers to future laws, Glendale has never sought to use its contractual rights to compel "unlawful action." This Court has held that when the law changes after a contract is made, there is nothing "unlawful" about paying damages for breach of the contract—which is what Glendale seeks—"even when specific performance of the contract would violate public policy." *W.R. Grace Co. v. Rubber Workers*, 461 U.S. 757, 768-70 & n.13 (1983); *accord Missouri, K. & T. Ry. v. Oklahoma*, 271 U.S. 303, 310 (1926) (government contract).

Finally, when the government undertakes a contractual obligation, even if the government generally reserves the right to change the law (which the SAA did *not* do), Pet. App. 129a-130a, such a provision will not be interpreted to allow the government, after the private party has performed, as Glendale has, to excuse itself from paying damages by making its own performance illegal or impossible. *See Lynch*, 292 U.S. at 277-78 (even though war risk policy was "subject to" current and future laws and regulations, government could not abrogate "vested" rights by changing the law); *Detroit v. Detroit Citizens' St. Ry.*, 184 U.S. 368, 378, 384-85 (1902) (city council's reserved right to make "rules, orders, or regulations" as necessary did not include right to alter an "important and fundamental" term, such as agreed-upon rate for

railroad's fare). In particular, here, the more specific provision of the agreement adopting the existing Memorandum R 31b to govern Glendale's use of goodwill prevails over any implication contained in the generalized "unlawful action" provision.¹⁷ Accordingly, there is no basis for the government's suggestion that it inherently reserved the right to repudiate its contractual obligations simply by making them unlawful in the future.¹⁸

c. *Unmistakability Requires Only One Contract Promise, Not Two.* The government also argues that the unmistakability principle requires more than the government's clear intent to recognize Glendale's use of goodwill amortized over 40 years. Pet. Br. 22. The government thus contends that unmistakability requires a second promise that Congress would not enact "new regulatory legislation." *Id.* This is clearly contrary to precedent. In particular, *Perry v. United States*, in an opinion for the Court by Chief Justice Hughes, and *Lynch v. United States*, in a unanimous opinion by Justice Brandeis, rejected arguments that Congress's sovereign powers

¹⁷ See, e.g., *Hughes Communications*, 998 F.2d at 957-58 (provision with specific reference to executive directive prevails over general clause which "subordinates the contract only to unspecified . . . law and . . . policy"); *Hills Materials Co. v. Rice*, 982 F.2d 514, 516-17 (Fed. Cir. 1992) (same).

¹⁸ The government's additional suggestion, Pet. Br. 23 n.14, that it was not bound after 1991 to recognize Glendale's use of goodwill because certain terms of the contract have expired, is specious. Indeed, the government conceded in the Court of Federal Claims that this expiration provision, see J.A. 598, was limited to the contract provisions concerning potential government interest rate and indemnification payments. C.A. App. 2221, 2231-32, 2371. In contrast, Glendale's right to use and amortize goodwill "in accordance with" Memorandum R 31b, see J.A. 607, was fixed when the contract was executed. See, e.g., *Fletcher v. Peck*, 10 U.S. (6 Cranch) 87, 137 (1810) ("A contract executed, as well as one which is executory, contains obligations binding on the parties. A grant, in its own nature, amounts to an extinguishment of the right of the grantor, and implies a contract not to reassert that right.").

allowed it to abrogate contracts previously entered on behalf of the United States. See *Perry*, 294 U.S. at 349-54; *Lynch*, 292 U.S. at 579-80. Neither the "gold clause" contractual provisions in *Perry* nor the war risk insurance contracts in *Lynch* contained any "second promise" that Congress would not enact "new regulatory legislation," Pet. Br. 22. See *Perry*, 294 U.S. at 347-48; *Lynch*, 292 U.S. at 577-78. Indeed, both cases reject any requirement of a "second promise" as unnecessary and contrary to common practice and understanding. *Perry* in particular holds that "[i]t is in theory impossible to reconcile the idea of a promise which obliges, with a power to make a law which can vary the effect of it." 294 U.S. at 351 n.2 (quoting Alexander Hamilton, 3 *Hamilton's Works* 518, 519 (communication to Senate, 1795); cf. *Standard Rice Co.*, 323 U.S. at 110 (subsequent change in law did not provide basis for granting government relief from its contractual obligations because "[t]here is no such provision in the present contract"). Nor can *Lynch* and *Perry* be distinguished, as the government argues, as not involving Congress's regulatory powers or as involving "purely financial contractual obligations." Pet. Br. 41. *Perry* held that honoring the contractual "gold clause" provisions meant that "the power of Congress to regulate the value of money; that is, to establish a monetary system and thus to determine the currency of the country" could not be used as a basis for Congress to "disregard the obligations of the government." 294 U.S. at 350 (emphasis added). And *Lynch* acknowledged that the war risk insurance policies were "not entered into by the United States for a business purpose." 292 U.S. at 576.¹⁹ Glendale's contract is at least as "purely financial" as the contracts in *Lynch* and *Perry*.

¹⁹ See also United States' Supplemental Brief at 2, *Lynch* (No. 33-855) ("whatever was done by Congress to pay, support, or improve the morale of its soldiers in war time was done as a sovereign and not as a business").

Contract Clause precedent, from which the "unmistakability" principle arose, also rejects any requirement that a government contract make a "second promise" that the legislature will not abrogate the contract. In particular, this Court repeatedly has rejected a variety of government attempts to use the unmistakability principle to interpret contractual obligations as being subject to an implicit unilateral right of the government to change those contractual obligations by changing the law. See *Russell v. Sebastian*, 233 U.S. 195, 204 (1914) ("When the voice of the state declares that it is bound if its offer is accepted . . . we should be slow to conclude that only a revocable license was intended."); *Powers v. Detroit, G.H. & M. Ry.*, 201 U.S. 543, 559 (1906); *St. Anna's Asylum v. New Orleans*, 105 U.S. 362, 369 (1882) ("addition of a declaration, that the [tax] exemption given should not be withdrawn, would not have added to its force").²⁰

The government also ignores that Glendale's contract did contain express provisions that Glendale's contractual rights (i) could not be unilaterally altered by the government (but only by written consent of both parties), and (ii) "shall be in addition to all rights . . . given by any applicable statute or rule of law." J.A. 599 (emphasis added). These contract provisions constitute a far clearer "second promise" indicating that the Insurance Corporation assumed the risk of compensating Glendale for a

²⁰ Accord *Detroit Citizens' St. Ry.*, 184 U.S. at 384 ("It would hardly be credible" that contractor would agree that a critical term "should be subject to change from time to time by the sole decision of the" government); *Murray v. Charleston*, 96 U.S. 432, 445 (1877) ("A promise to pay, with a reserved right to deny or change the effect of the promise, is an absurdity."); *New Jersey v. Yard*, 95 U.S. 104, 116-17 (1877) (principle that "the contract must be clear, and cannot be made out by dubious implications" does not support "[t]he implication . . . of a right to revoke" by the government); see also *United States v. Purcell Envelope Co.*, 249 U.S. 313, 318-19 (1919) (federal contract: there "must be some point at which discretion ceases and obligation takes its place").

statutory change that impaired contractual rights than any provision in *Perry, Lynch*, or the Contract Clause cases.

Equally unavailing is the government's suggestion that a "second promise" was required because goodwill regulations were in a state of change when Glendale entered into its contract in 1981. Pet. Br. 3-4 n.1, 27. First, that assertion is factually wrong.²¹ Second, Glendale's contract required goodwill accounting "in accordance with" the existing Memorandum R 31b. See *supra*, pp. 23-24. Third, even if it had its facts straight, the government has the law backwards. That an event is foreseeable is "a factor that suggests that the promisor assumed the risk of its occurrence." 2 E. Farnsworth, *Farnsworth on Contracts* § 9.6, at 555-56 (1990); see *Standard Rice Co.*, 323 U.S. 106, 110 (1944). Most clearly, a party bears the risk that its own actions will prevent specific performance of the contract. See *W.R. Grace Co.*, 461 U.S. at 767 n.10. Here, the government has prevented its own specific performance of its contractual obligations.²²

d. *The Value Of The Consideration Provided By Glendale Demonstrates The Government's Clear Contrac-*

²¹ The Bank Board proposal that the government cites, Pet. Br. 3-4 n.1, stated merely that "[i]nstead of treating goodwill . . . on a case-by-case basis to determine capital adequacy, the Board has decided to propose benchmarks for the amount of goodwill that may be counted in calculating net worth of the resulting institution." 45 Fed. Reg. 72,681-72,682 (Nov. 3, 1980). Moreover, the government neglects to inform the Court that the proposal was withdrawn several months later because the Bank Board determined "that imposition of this new limitation could discourage potential merger partners from consummating necessary mergers." 46 Fed. Reg. 42,274 (Aug. 20, 1981).

²² Under the Contract Clause cases, the government bears the risk that its own change in regulatory policy will prevent it from performing its own contracts. See, e.g., *Russell*, 233 U.S. at 206; *Detroit Citizens St. Ry. Co.*, 184 U.S. at 384-85; *New Orleans Gas Light Co. v. Louisiana Light & Heat Prod. & Mfg. Co.*, 115 U.S. 650, 672-73 (1885).

tual Intent. In suggesting that the government's contractual recognition of Glendale's right to use goodwill as capital was nothing more than a license revocable at will, the government offers an interpretation that is financially nonsensical in light of the value of the consideration that the Insurance Corporation received from Glendale. The detriment Glendale incurred demonstrates that it would have been "madness" to accept in this bargained-for contract the uncertain and disproportionate terms described in the government's belated interpretation. *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78.

This Court has frequently held that it will not interpret the government's contractual obligation to be a gross mismatch financially with the consideration provided by the other party to the contract. In *Purcell Envelope Co.*, for example, this Court held that it would not interpret a federal contract that imposes substantial costs on the contractor to create "but scant obligation upon the part of the government." 249 U.S. at 322. Similarly, with respect to state and municipal contracts, in *Appleby v. Delaney*, 271 U.S. 403 (1926), the Court held that it was not "reasonable to suppose" that private parties would "leave to the city authorities the absolute right to nullify the chief consideration." *Id.* at 413. And *Russell* declined to interpret a government contract such that the government would invite an undertaking "without any assurance" that the private party's performance "could . . . afford any chance of profit." 233 U.S. at 208.²³

Here, had Glendale not stepped in, the Insurance Corporation would have had to pay liquidation costs in excess of \$783 million, J.A. 644, and it lacked the resources to do that. Because Glendale was itself a solvent, healthy

²³ *Accord* *Detroit, G.H. & M. Ry.*, 201 U.S. at 557; *Detroit Citizens St. Ry.*, 184 U.S. at 364, 398; *Walla Walla v. Walla Walla Water Co.*, 172 U.S. 1, 17 (1898); *New Orleans Gas Light Co.*, 115 U.S. at 662-64; *Humphrey*, 83 U.S. (16 Wall.) at 249; *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78.

institution, Glendale's intervention was particularly valuable as Glendale put up its entire previous net worth of \$277 million to relieve the Insurance Corporation of its payment obligation for Broward's excess liabilities.

Given the enormous benefit that Glendale provided to the Insurance Corporation, it is ridiculous to suggest that Glendale bargained for consideration that could become worthless from one day to the next at the sole discretion of the government. As inducement for Glendale to assume the Insurance Corporation's liability on Broward's deposits, the Insurance Corporation had to provide adequate contractual assurance that Glendale would continue to have sufficient net worth to qualify for continuing deposit insurance, notwithstanding the excess liabilities that Glendale would be taking on. The only ways to do this were either a massive cash infusion from the Insurance Corporation or the contractual recognition of Glendale's right to use goodwill as part of capital and thus offset Broward's \$734 million of liabilities. *See supra*, pp. 3-5. The Insurance Corporation's recognition of goodwill was, in short, a cash substitute. J.A. 646.

Without this contractual commitment—i.e., if, *arguendo*, the government's position were correct—Glendale would have been subject to closure the day after the transaction and every day thereafter based on a statutory change or any regulator's unfettered decision to cease recognizing the goodwill and thus to render Glendale insolvent by approximately \$460 million. *See* Pet. App. 22a n.5. The government's interpretation is as much "madness," *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78, as arguing that if the government had made a cash infusion, it could unilaterally seize that money after full performance by Glendale. That "madness" is not alleviated by the fact that Glendale received certain other benefits under the contract, *see* Pet. Br. 27, because it is uncontroverted that those benefits could not have come close to preventing Glendale's immediate insolvency upon Glendale's assumption of the Insurance Corporation's \$734

million of excess liabilities. J.A. 629-30, 636, 645-46. No benefit to Glendale was worth anything unless Glendale was solvent and in business. It is uncontroverted that "[h]ad the government not *agreed*" to recognize goodwill, "Glendale would not and could not have entered into the transaction." *Id.* at 645 (emphasis added).

e. *The Uncontroverted Facts "Establish" The Government's Clear Contractual Intent.* In addition to contractual language and the import drawn from the enormous value of the consideration provided by Glendale, this Court has held that extrinsic circumstances and evidence can be used to establish the government's clear contractual intent. For instance, in *White v. United States*, 241 U.S. 149 (1916), even though a government engineering contract contained "ambiguity" as to its scope, *id.* at 153, this Court found the government's broader intent clear based on the actions of the government's engineer in charge, *id.* at 153-54.²⁴ It would pervert the unmistakability principle, which is designed to discern the government's intent, to use it instead to ignore *undisputed* evidence of that intent and thus to "defeat the very end the [government] had in view." *Binghamton Bridge*, 70 U.S. (3 Wall.) at 78.²⁵

²⁴ See also *Detroit Citizens St. Ry. Co.*, 184 U.S. at 398 (when, as here, government did not assert its "alleged power of alteration" until many years after contractor made "expenditures involving millions of dollars," "[t]his in itself is a strong implication of the want of any such power"); *United States v. Gibbons*, 109 U.S. 200, 203-04 (1883) (although language of contract was "susceptible of two meanings," broader undertaking of government was "sufficiently plain" from the "circumstances attending the transaction"); *Humphrey*, 83 U.S. (16 Wall.) at 248-49 (finding clear intent to grant tax exemption to railroad where without such grant "no sufficient inducements had been found to procure the building of the . . . road").

²⁵ The government tries to draw from one case, *The Delaware R.R. Tax*, 85 U.S. (18 Wall.) 206 (1873), a rule that unmistakability can be satisfied only by contract "language." Pet. Br. 18. There is no such rule and the government's suggestion is contrary to, among others, the cases cited above, the "implied" contract and other cases cited *supra*, p. 18-19 & n.14, and the Tucker

It is difficult to describe an appellate record that more clearly establishes, with undisputed facts and evidence, the government's unmistakable contractual intent than that presented by Glendale's case. First, pursuant to Court of Federal Claims Rule 56(d)(1), *see infra*, A3-A4, Glendale submitted Proposed Findings Of Uncontroverted Fact. J.A. 643. The government did not contest any of Glendale's Proposed Findings. See Pet. App. 16a. Thus, pursuant to Rule 56(d)(3), the facts set forth by Glendale's Proposed Findings are "deem[ed] . . . to be established." R.C.F.C. 56(d)(3). The "established" facts include that the Insurance Corporation "agreed that Glendale would use the purchase method to account for the transaction; that the \$734,660,000 in resulting goodwill could be used as an asset for regulatory capital purposes . . . and that most of the goodwill would be amortized over forty years (with a small portion being amortized over 12 years)." J.A. 645. When a party has not contested facts in the trial court, as the summary judgment procedural rules require, the party may not contest them on appeal. See 10 C. Wright & A. Miller, *Federal Practice & Procedure* § 2716, at 651-54 (1983 & Supp. 1995) (citing cases).

Moreover, each of the uncontested and "established" facts was supported not only by the express terms of Glendale's contract, but also by detailed affidavits from the principal contract negotiators. J.A. 628-42. The government chose not to submit any counter affidavits from government negotiators. This is not surprising because, in a tape recording of the meeting where the contract was consummated, the Insurance Corporation's director stated that "the use of purchase accounting" was one of "the major elements of the *agreement*." *Id.* at 614 (emphasis added). Summary judgment is required when, as here, the movant's supporting affidavits on the material

Act's recognition of "implied" contracts. *Delaware R.R. Tax* is itself dictum, as the only argument by the private party in that case was that the "words" of a statute created a government contract. 85 U.S. (18 Wall.) at 226.

issues are uncontroverted. See *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 256-57 (1986).²⁶

4. *The Decisions On Which The Government Relies Are Inapposite.* The government seeks support from this Court's decisions in *United States v. Cherokee Nation*, 480 U.S. 700 (1987), *Bowen v. Public Agencies Opposed to Social Security Entrapment*, 477 U.S. 41 (1986) ("POSSE"), and *Merrion v. Jicarilla Apache Tribe*, 455 U.S. 130 (1982). However, in each of those cases, unlike this case, the party asserting a contract right failed to show any evidence of the claimed right, much less evidence sufficient to satisfy the unmistakability principle.

Merrion concerned claims by lessees who extracted oil and gas from Indian tribal lands and sought to enjoin taxation by the tribe. 455 U.S. at 136. This Court rejected that argument, because the right asserted against the tribal government was based solely on "the absence of a reference to the tax in the leases." *Id.* at 147-48. *Merrion* offers the government no support, because Glendale's claim is not based on an "infer[ence] . . . from silence." *Id.* at 148.

In *Cherokee Nation*, the grant to an Indian tribe of riverbed interests contained no expression of intent to relieve the tribe of the government's navigational servitude over the river. 480 U.S. at 707. Indeed, the Court relied heavily on the tribe's concession, in the proceeding in which the tribe received its interest in the riverbed, that "nothing in the conveyance . . . conflicts with the power

²⁶ Even assuming *arguendo* that the government were correct that the Insurance Corporation had no contractually binding obligation under the SAA as to goodwill because some sort of required formal language was not used, but see *supra* pp. 18-19, Glendale would have a claim at least for restitution for the benefits received and accepted by the Insurance Corporation. See *Willard, Sutherland, & Co. v. United States*, 262 U.S. 489, 494 (1923) ("While the contract at its inception was not enforceable, it became valid and binding to the extent that it was performed."); *Horton v. United States*, 57 Ct. Cl. 395, 403 (1922) (restitution when formal requirement for making contract not observed).

of the Government [concerning] navigation.'" *Id.* at 706 (citation omitted).

Finally, *POSSE* offers no help to the government, because unlike the bargained-for contractual commitments that Glendale received from the government in the instant case, the right asserted in *POSSE* was a gratuity contained in a general regulatory program. 477 U.S. at 55. In *POSSE*, states claimed the right to terminate standard-form agreements with the federal government enrolling state employees in the federal Social Security System. *Id.* at 49-51. Although originally the states were permitted to terminate these agreements, an amendment to the Social Security Act eliminated that option. *Id.* at 49. This Court found that the termination clause in the agreements was not "a term over which the State had any bargaining power or for which the State provided independent consideration." *Id.* at 55. The agreements were not independently negotiated contracts. *Id.* Therefore, the form agreements in *POSSE* contained none of what this case has: individually-bargained and clear contractual language, extraordinary consideration, and the undisputed and "established" fact of the government's contractual intent.

* * *

The emotional premise underlying the government's brief is that the government should win because this case involves savings and loans. That premise is fundamentally improper. First, the decision in this case will govern all federal contracts (and, indeed, quite possibly state and municipal contracts as well, see *supra*, pp. 18-20 & n.14). The Court has long recognized that the benefits that accrue to the public from requiring the government to abide by its financial contracts far outweigh any short-term gains from permitting the government to escape a contractual obligation out of financial expediency. See, e.g., *United States v. Gibbons*, 109 U.S. 200, 203-04 (1883) (rejecting argument that government implicitly reserved a right to modify obligation, thus placing the "whole risk of the contingency" on the contractor, because the contractor

would have demanded a higher price); accord *Purcell Envelope Co.*, 249 U.S. at 318; *Russell*, 233 U.S. at 206. As *Lynch* held, 292 U.S. at 580: "Punctilious fulfillment of contractual obligations is essential to the maintenance of the credit of public as well as private debtors."²⁷

Moreover, two terms ago, this Court refused to craft a special regime of tort law to accommodate the government's current agenda in dealing with the savings and loan crisis. See *O'Melveny & Myers v. FDIC*, 114 S. Ct. 2048, 2055 (1994) (there is "no federal policy that the fund should always win"). Similarly, in this case, there is every reason for the Court to decline the government's invitation to invent a regime of contract law that is contrary to precedent, unfair to private parties, and unwise for the government.

II. THE INSURANCE CORPORATION HAD AMPLE EXPRESS STATUTORY AUTHORITY TO ENTER INTO GLENDALE'S CONTRACT.

The government's next fall-back position is that the Insurance Corporation's clear and unmistakable contract promises to Glendale concerning goodwill accounting are "invalid and unenforceable because the thrift regulators who . . . made them would not have had the authority to bind future Congresses." Pet. Br. 12. As demonstrated herein, under the government's broad "reserved powers" argument, no government could ever make a binding contract commitment on any subject. The government also misreads applicable contracting authority precedent and asks the Court to ignore the express statu-

²⁷ In view of this Court's numerous holdings that the public interest favors enforcing the government's contractual obligations and clear intent, it is puzzling for the government to rely on the provision of Section 207 of the Restatement (Second) of Contracts that when ambiguity exists—which it does not here—"a meaning that serves the public interest is preferred." See Pet. Br. 20. In any event, the government ignores the fact that comment a to that Section states that "it does not prefer the interest of a governmental agency as a party to a contract; government contracts are likely to be construed against the government as the drafting party."

tory provisions involved here, which specifically authorized the Insurance Corporation to enter exactly the type of contract it consummated with Glendale to facilitate the Broward merger. *Id.* at 40-41.

1. The government argues that, under the "reserved powers" doctrine, "core sovereign powers" cannot be contracted away. *Id.* at 12. The government then suggests that this doctrine applies here because "[t]he right to set future policy for thrift capital safety is a power exercised by Congress." *Id.* By the government's reasoning, therefore, the power to set thrift capital requirements is a "core sovereign power" simply because Congress has authority to legislate on the subject. If that is so, it follows necessarily that no government may ever enter into a binding contract concerning any subject within its legislative power. This boundless conception of the "reserved powers" doctrine is radical, wrong, and contrary to this Court's precedent.

First, as shown above, *supra*, pp. 30-32, by entering its contract with Glendale, the government was not abandoning a "core sovereign power"; it was simply advancing its own financial interest by inducing Glendale to assume the government's liabilities as the insurer of Broward's deposit accounts. Even the government must recognize that "the power [of a government] to enter into effective financial contracts cannot be questioned." *United States Trust Co. v. New Jersey*, 431 U.S. 1, 24 (1977).

The "reserved powers" doctrine has *never* been applied to government financial obligations, and federal government bondholders rightly would be shocked to hear that the United States is even suggesting it could be. Yet the power to incur debt, like the power to set thrift capital standards—which in reality are simply financial underwriting requirements for federal deposit insurance—is "a power exercised by Congress." See U.S. Const. art. I, § 8, cl. 2. The "reserved powers" doctrine therefore does not, and should not, apply to Glendale's contract.

Second, even to the extent that Glendale's contract may touch upon regulatory matters, the contract is not invalid

for that reason. This Court has repeatedly held that the United States, and other sovereigns, can make binding contracts concerning a variety of regulatory matters that remain enforceable by a damages action following subsequent changes in pertinent regulatory law. See, e.g., *Wood v. Lovett*, 313 U.S. 362, 372 (1941) (validity of tax sales); *Appleby v. City of New York*, 271 U.S. 364, 380 (1926) (land sold will be "free from subsequent regulatory control"); *St. Cloud Pub. Serv. Co. v. City of St. Cloud*, 265 U.S. 352, 355 (1924) ("the governmental power of fixing and regulating . . . rates"); *Russell*, 233 U.S. at 206 (1914) (regulation of utility services); *American Smelting & Ref. Co. v. Colorado ex rel. Lindsley*, 204 U.S. 103, 113 (1907) (conditions for foreign corporations to do business); see also *United States v. Bekins*, 304 U.S. 27, 51-52 (1938) ("It is of the essence of sovereignty to be able to make contracts and give consents bearing upon the exertion of governmental power.").

This holds true even if the government later clothes its financial interests in an invocation of the "police power." *Lovett*, 313 U.S. at 372 ("It begs the question to say that the state may not abdicate the police power."); see also *W.B. Worthen Co. v. Kavanaugh*, 295 U.S. 56, 60 (1935) (Cardozo, J.) ("Even when the public welfare is invoked as an excuse, these bounds [of honoring government contracts] must be respected."). Thus, in the area of the government's own contracts, this court has unanimously held that "the police power" that relieves the government from paying damages for breach does not include all areas of legislative sovereignty, but rather extends only to regulations "necessary to protect the public health, or public morals." *New Orleans Gas Light Co.*, 115 U.S. at 665-69 (Harlan, J.).²⁸

²⁸ None of the cases cited by the government extends beyond reserved powers over the uniquely important areas of public health and public morals. See, e.g., *Atlantic Coast Line R.R. v. City of Goldsboro*, 232 U.S. 548, 559-62 (1914) (train safety); *Douglas v. Kentucky*, 168 U.S. 488, 502-03 (1897) (same); *Butchers' Union Slaughter-House & Live-Stock Lending & Slaughter-House Co.*, 111

As the Court explained in *Perry*, which involved a regulatory statute:

There is a clear distinction between the power of the Congress to control or interdict the contracts of private parties when they interfere with the exercise of its constitutional authority, and the power of the Congress to alter the substance of its own engagements.

294 U.S. at 350-51. The government's suggestion that no "police power" justification was offered for the government's action in *Perry*, Pet. Br. 42, is simply wrong. See *Perry*, 294 U.S. at 342-343 (government relied on the "police power," and argued that "[l]egislative powers cannot be expressly contracted away"). The Court in *Perry* squarely rejected the argument that "the government cannot by contract restrict the exercise of a sovereign power," *id.* at 353, observing that "[w]e do not so read the Constitution," *id.* at 350, and holding instead that "the right to make binding obligations is a competence attaching to sovereignty," *id.* at 353.

Ultimately, the enforceability of promises potentially involving, as here, or even embracing, a wide variety of government regulatory powers—particularly after full performance by the private party—is essential to modern government. Much of modern community and economic development hinges on negotiated zoning, regulatory and tax exemptions. Similarly, an effective private-public partnership in areas ranging from utility services to environmental, health, and welfare services funded by the government would be impossible if *United States Trust*, *Perry* and the other cases cited were to be overruled—and that is what adoption of the government's position on "reserved powers" would require.

U.S. 746, 747-53 (1884) (food safety); *Stone v. Mississippi*, 101 U.S. 814 (1880) (lottery); see also *Contributors to the Pa. Hosp. v. City of Phila.*, 245 U.S. 20, 24 (1917) (city could take property to make a street pursuant to its "power of eminent domain upon just compensation").

2. The government's other contracting authority argument is merely a variation of its unsupported "second promise" theory. *See supra*, pp. 26-29. In this variation, an agency needs not only the statutory authority to "contract," it also needs the statutory authority to "limit[] Congress's future regulatory power." Pet. Br. 40. This "second authority" theory is also contrary to this Court's clear precedent and must be rejected.

Pursuant to 12 U.S.C. § 1729(f)(2), *see infra*, A2, the Insurance Corporation was authorized at the time of the Broward merger "to guarantee" acquiring institutions, such as Glendale, "against loss by reason of [their] merging or consolidating with or assuming the liabilities and purchasing the assets of" an "insured institution in or in danger of default," such as Broward. In the exercise of this authority, the Insurance Corporation did precisely that when it "guarantee[d]" Glendale's use of goodwill amortized over 40 years as the necessary protection "against loss" resulting from Broward's excess liabilities. Moreover, 12 U.S.C. § 1725(c)(3), *see infra*, A1, conferred on the Insurance Corporation plenary and unrestricted authority "[t]o make contracts." Pursuant to these provisions, the government's contracting officials had ample statutory authority to enter into contracts such as Glendale's. Indeed, the government conceded as much in the proceedings below. Pet. App. 161a n.8.

Nonetheless, the government now makes the extraordinary argument that the contracts made by the Insurance Corporation are *ultra vires* because the Insurance Corporation was not given still further authority to "limit[] Congress's future regulatory power." Pet. Br. 40. In nearly six years of litigation, however, the government has never identified a single statute that contains such a provision, and Glendale has never found one.²⁹ Under the

²⁹ In contrast, numerous government agencies and officials have what the Insurance Corporation had, the unrestricted authority to "make contracts." *See, e.g.*, 10 U.S.C. § 7522(a) (1994) (Navy officials); 15 U.S.C. § 2703(b) (1994) (Secretary of Energy); 20 U.S.C. § 1442 (1994) (contracts relating to children with dis-

government's position here, a party seeking to obtain a binding federal contract must obtain special and unprecedented legislation from Congress. That requirement contravenes this Court's precedent and the constitutional framework for federal government contracts.

Lynch v. United States, 292 U.S. at 577-78, stands for a proposition squarely at odds with the government's proposed rule. *Lynch* involved significant contractual terms to which, as here, the agency had agreed, but Congress had not expressly agreed. *See id.* at 577 ("The terms of these contracts are to be found in part in the [insurance] policy, in part in the statutes under which they are issued and the regulations promulgated thereunder.") (emphasis added). Thus, contrary to the government's characterization of *Lynch* on this point, Pet. Br. 42, that case involved the same situation presented here: a contract made by an agency, not Congress, pursuant to statutory authorization that contained no express provision about binding any future Congress. The unanimous Court in *Lynch* nevertheless enforced the insurance rights at issue as "contracts of the United States." 292 U.S. at 576. Nor can *Lynch* be distinguished as a case involving a purely commercial contract. *See supra*, p. 27.

The Insurance Corporation's plenary statutory authority "[t]o make contracts" was enacted 23 days after this Court issued its opinion in *Lynch*. 12 U.S.C. § 1725(c)(3) (original version at ch. 847, § 402, 48 Stat. 1256 (June 27, 1934)). Plainly, that statutory provision comports with *Lynch*'s understanding that the contract of any agency acting even with *general* statutory authority to contract is binding on the United States. *A fortiori*, the comprehensive "make contracts" provision combined with the specific statutory provision authorizing the Insurance Corporation to facilitate the Broward merger by "guarantee[ing]" Glendale "against loss by reason of" the

abilities); 49 U.S.C. § 1113(b)(1)(H) (Supp. 1996) (National Transportation Safety Board).

merger conferred ample contracting authority on the government's contracting officials here.

The government nevertheless urges the Court not to apply *Lynch*, but instead to apply a Contract Clause precedent, *Home Telephone & Telegraph Co. v. City of Los Angeles*, 211 U.S. 265 (1908). Pet. Br. 39-41. That decision is of no avail to the government for two reasons.

First, agencies and officers of "the United States can, without the authority of any statute, make a valid contract." *Jessup v. United States*, 106 U.S. 147, 152 (1882); accord *Moses v. United States*, 166 U.S. 571, 585-87 (1897). Specifically, the federal executive branch may "within the sphere of the constitutional powers confided to it . . . enter into contracts" so long as those contracts are "not prohibited by law, and [are] appropriate to the just exercise of" the executive's other statutory or constitutional powers. *United States v. Tingey*, 30 U.S. (5 Pet.) 115, 128 (1831) (Story, J.) (emphasis added).³⁰ As a result, an agency's contract can be "a binding contract between the [private party] and the United States," even with no authorizing statute. *Id.* This inherent source of a federal agency's power to contract reflects that an agency's contract is itself an exercise of the federal government's "general right of sovereignty" under the Constitution. *Id.*³¹ Here, Glendale's contract was both authorized by statute and appropriate to the Insurance Corporation's other statutory powers to assist mergers

³⁰ By statute, the "Federal Savings & Loan Insurance Corporation," was "in the executive branch of the Government." 12 U.S.C. § 1437(a) (1988) (repealed 1989).

³¹ The rule set forth in *Moses*, *Jessup*, and *Tingey* is consistent with 41 U.S.C. § 11 (1994) (original version at ch. 84, § 8, 12 Stat. 220 (1861)), which requires only that an agency's contract be "authorized by law," not by statute. Because, among other reasons, the Glendale contract was authorized by law and by statute, the government correctly has never attempted to invoke either 41 U.S.C. § 11 or 31 U.S.C. § 1341 (1994). See *New York Airways, Inc. v. United States*, 369 F.2d 743, 752 (Ct. Cl. 1966).

of failing insured institutions and thereby to avoid more costly liquidations.³²

Second, the government's reliance on *Home Tel. & Tel.* is misplaced because there, unlike here, the state agency had no authority at all to enter into the contract. The government's reading of *Home Tel. & Tel.* ignores both the facts and the specific statutory provisions involved. Pet. Br. 40. The issue there was whether a city charter conferred on the city the power to enter contracts to fix rates for telephone service for a definite term. The Court held that the charter contained *no* general authority to make contracts and expressly *limited* the city's authority over the telephone service to the power "to regulate . . . and to fix and determine . . . charges," 211 U.S. at 274, language the court found "entirely unfitted to describe the authority to contract." *Id.* The Court also emphasized that its decision left intact prior holdings that municipal contracts guaranteeing specified rates were binding on the state where, unlike in *Home Tel. & Tel.*, the authorizing statute did confer authority to contract upon the municipality. *Id.* at 277 (citing *City of Cleveland v. Cleveland City Ry. Co.*, 194 U.S. 517, 534 (1904) (involving "comprehensive" contracting authority) and *Vicksburg v. Vicksburg Waterworks Co.*, 206 U.S. 496, 508 (1907) (involving "unrestricted" contracting authority)). These cases refute the rule urged by the United States because nothing in the authorizing statute in *Cleveland* or *Vicksburg* expressly stated that municipal contracts would "limit[] [the State's] future regulatory power." See Pet. Br. 40.

³² Moreover, the Insurance Corporation here interpreted its own governing statute in concluding that it had authority to enter the Glendale contract. See, e.g., J.A. 587, 608. Not only is that interpretation supported by that statute's plain language, but it is entitled to deference under *CFTC v. Schor*, 478 U.S. 833, 844-45 (1986), *Chevron U.S.A., Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837, 842-44 (1984), and similar cases. No principle of deference was mentioned or applicable in *Home Tel. & Tel.*

Here, both statutory provisions conferring authority upon the Insurance Corporation to enter the contract with Glendale meet the *Home Tel. & Tel.* test. The authority under 12 U.S.C. § 1725(c)(3) "[t]o make contracts" was, unlike the authority in *Home Tel. & Tel.*, both "comprehensive" and "unrestricted," and the authority under 12 U.S.C. § 1729(f)(2) "to guarantee [the acquiror] . . . against loss" was also well "[f]itted to describe the authority to contract." 211 U.S. at 274.

III. THE "SOVEREIGN ACTS" DEFENSE IS INAPPLICABLE TO GLENDALE'S CLAIM FOR CONTRACT DAMAGES.

In claiming the defense of "sovereign acts," the government does not, and cannot, deny that FIRREA and the OTS regulations contravene the goodwill terms of Glendale's contract. The government has now required Glendale to "deduct" hundreds of millions of dollars of goodwill from its capital, *see* 12 C.F.R. § 567.9(c) (1990), contrary to GAAP principles, whereas in the contract the government expressly promised that Glendale could use goodwill as an asset and amortize it over 40 years in accordance with GAAP. *See supra* pp. 21-23.

The government nevertheless argues that the "sovereign acts" defense applies to Glendale's contractual claim because FIRREA's goodwill provisions are "general," *i.e.*, they apply to both contractually-recognized goodwill, such as Glendale's, and other intangible assets. Pet. Br. 45. The "sovereign acts" defense cannot apply, however, merely because a statute covers more than government contracts; most statutes do, and *all* could be written that way. Thus, the government's argument would give Congress a license to extinguish all government contract liability. *Perry* and *Lynch* preclude the government's argument, which also is contrary to this Court's nonretroactivity precedent.

1. Both *Perry* and *Lynch* involved "public and general" legislation. Indeed, the statutes at issue there were far broader, and thus their impact less focused on govern-

ment contracts, than is FIRREA. The statute in *Perry* established a system of payment for "every obligation," both public and private. 294 U.S. at 349 n.1. In fact the government, citing *Horowitz v. United States*, 267 U.S. 458 (1925), stated the statute was "public and general." *Perry*, 294 U.S. at 346. Similarly, in *Lynch*, the law at issue was a broad repeal of "all laws granting or pertaining to" wartime insurance policies, 292 U.S. at 575, which covered both "gratuities" and contractual commitments of the government, *id.* at 584-85. Despite the breadth of the statutes involved, the Court held in both cases that the government could not abrogate its own pre-existing contracts.

Indeed, *Perry* specifically explains that the breadth of the statute is not controlling:

There is no question as to the power of the Congress to regulate the value of money . . . [t]he question is whether the Congress can use that power so as to invalidate the terms of the obligations which the government has theretofore issued

294 U.S. at 350. The Court held that Congress could not:

The contention necessarily imports that the Congress can *disregard* the *obligations* of the Government at its discretion. . . . We do not so read the Constitution.

Id. (emphasis added).³³

The impact of FIRREA's goodwill provisions is more focused on government contracts than were the "general" statutes in *Perry* and *Lynch*. Here, Congress adopted provisions *expressly* applicable *only* to "supervisory good-

³³ *Perry* also rejects the government's renewed attempt to find support for its expansion of the "sovereign acts" doctrine by making a comparison to a private party's defense of impossibility. Pet. Br. 43-44. *Perry* specifically rejected the government's argument that its own general statute created a defense of "impossibility of performance." 294 U.S. at 348. This is in accord with the rule that a private party cannot claim impossibility based on a supervening law or decree when its "own actions created the condition of impossibility." *W.R. Grace Co. v. Rubber Workers*, 461 U.S. 757, 767 n.10 (1983).

will," see 12 U.S.C. §§ 1464(t)(3)(A), 1464(t)(9)(A), (C), Pet. App. 198a, 203a, a phrase coined specifically for use in this statute to target transactions such as the government's contract with Glendale.³⁴ By contrast, in *Perry* the legislation applied to *all* debts, public and private, and in *Lynch*, Congress evidently did not even consider that government contracts would be affected. See 292 U.S. at 585 ("Congress apparently assumed that there was no difference between the legal status of these gratuities and the outstanding contracts.").

Finally, *Perry* and *Lynch* demonstrate that if Congress had intended FIRREA to extinguish government liability on Insurance Corporation contracts—or even if FIRREA had that unintended effect—such application would be unconstitutional under the Due Process Clause. As explained in *Lynch*:

Congress was without power to reduce expenditures by abrogating contractual obligations of the United States. To abrogate contracts, in the attempt to lessen government expenditure, would be not the practice of economy, but an act of repudiation.

Lynch, 292 U.S. at 580; accord *Perry*, 294 U.S. at 352-53. Thus, Congress was "without power" to do what the government asks this Court to use FIRREA to do under the guise of the "sovereign acts doctrine": to excuse the government from damages liability on its own contracts and thus "to lessen government expenditure."³⁵

³⁴ Legislators understood that FIRREA's goodwill provisions would be applicable to "supervisory goodwill" recognized in pre-existing contracts, although Congress made no determination concerning the statute's effect on claims for breach of contract damages. See, e.g., H.R. Rep. No. 54(I), 101st Cong., 1st Sess. 498 (1989) (Congress "has reneged on the agreements"); 135 Cong. Rec. H2783 (daily ed. June 15, 1989) (statement of Rep. Ackerman) ("the government is saying 'thanks for your help, but we don't need you anymore, we're breaking our promise'"); see also Pet. App. 94a-97a.

³⁵ See also *United States Trust Co.*, 431 U.S. at 29-32 & n.29 ("a State cannot refuse to meet its legitimate financial obligations simply because it would prefer to spend the money to promote the

2. Although the government's "sovereign acts" argument is predicated on enactment of a statute, FIRREA, the government does *not* argue that FIRREA *of its own force* bars Glendale's claim for contract damages. See Pet. Br. 46.³⁶ Rather, the government asks this Court to construe a judge-made rule—the "sovereign acts doctrine"—to do what Congress chose not to do.

The government's attempt to use FIRREA as a basis for barring damages on a pre-existing contract, rather than merely to require (or prohibit) prospective action by its contracting partner—here, Glendale—is an attempt to give that statute a retroactive effect. *Landgraf v. USI Film Prods.*, 114 S. Ct. 1483, 1500 & n.25, 1506-07 (1994). The federal courts will neither themselves create such a retroactive effect nor read one into a statute unless Congress has "clearly spoken." *Id.* at 1507. See *United States v. Larionoff*, 431 U.S. 864, 879 (1977) (statute will not be interpreted to release government from liability on pre-existing contract absent "a clear expression of Congressional intent").³⁷

public good rather than the private welfare of its creditors"). Moreover, the government's interpretation of the "sovereign acts" doctrine would raise a grave question under the Takings Clause, and neither statutes nor judge-made doctrines should be construed to raise a possible taking of contractual rights. E.g., *United States v. Security Indus. Bank*, 459 U.S. 70, 76-82 (1982).

³⁶ No provision of FIRREA suggests, much less provides, that Glendale may not pursue a claim for contractual damages. There also are other strong indications that FIRREA's goodwill provisions did not bar claims for contractual damages. See, e.g., H.R. Rep. No. 54(I) at 498 ("Under contract law, the institutions would have a right to sue for breach of contract damages . . . [T]he government . . . still may be liable for breach of contract damages."); see Letter from Carol T. Crawford, Assistant Attorney General, Department of Justice to Rep. Wylie, dated July 12, 1989 ("The federal courts are available to resolve any constitutional and contractual claims presented by adversely affected thrifts.") (A copy of this letter has been lodged with the Clerk's office.).

³⁷ See also *The Twenty Per Cent. Cases*, 87 U.S. (20 Wall.) 179, 187-88 (1873) ("there is not a word in the repealing Act to support the conclusion that Congress intended to rescind any ante-

The government does not even argue that Congress has "clearly spoken" to the issue of contract damages (*i.e.*, retroactivity) here. Thus, the government's position that the courts should use FIRREA to prevent breach-of-contract damages would nullify this Court's nonretroactivity precedents. Indeed, by resorting to an asserted federal common-law defense of "sovereign acts," the government concedes that it does not contend that *FIRREA itself* has spoken at all to this issue.³⁸

3. The government's reliance on *Horowitz*, *see* Pet. Br. 43, is wholly misplaced, even apart from this Court's rejection of the same proposed expansion of *Horowitz* in *Perry and Lynch*.

a. *Horowitz* is a "federal common law" case. It involved a judge-made rule applicable to an administrative response to an emergency in an area not addressed by any statute. 267 U.S. at 459. In this case, by contrast, there is a detailed statute, FIRREA, and clear precedent requires interpreting that statute *not* to preclude damages claims for breach of contract. *See supra*, pp. 47-48. The government's "sovereign acts" argument thus ignores the Court's recent admonition that it would not adopt a federal common law "court-made rule to supple-

cedent contract, or to enact any bar to the right of recovery in such cases where the service had been faithfully performed before the repealing Act was passed"); *cf. De La Rama S.S. Co. v. United States*, 344 U.S. 386, 388-89 (1953) (applying the anti-retroactivity principles of 1 U.S.C. § 109 to government contracts and holding that nonretroactivity is "a principle of fair dealing. When the Government has entered upon a conventional commercial endeavor, such as the insurance business, it . . . offends standards of fairness for it to violate the principle of [nonretroactivity].").

³⁸ This nonretroactivity issue plainly falls within the third Question Presented, which concerns the effect of "the provisions of . . . FIRREA." Moreover, there can be no waiver of the nonretroactivity issue because this Court has long held that the courts always "retain[] the independent power to identify and apply the proper construction" of a statute. *E.g., United States Nat'l Bank v. Independent Ins. Agents of Am., Inc.*, 113 S. Ct. 2173, 2178 (1993); *see also O'Melveny & Myers v. FDIC*, 114 S. Ct. 2048, 2055 (1994) (*sua sponte* raising issue of retroactivity of FIRREA).

ment federal statutory regulation [FIRREA] that is comprehensive and detailed." *O'Melveny & Myers*, 114 S. Ct. at 2054.³⁹

b. *Horowitz* is also distinguishable because it did not involve a repudiation by the government of a contract. There, one government agency had committed to ship silk, but its performance was delayed by a general rail embargo imposed by the United States Rail Administration, a different agency. 267 U.S. at 459-60. The embargo was entirely unrelated to the government's contract, and affected it only incidentally. The embargo had neither as a purpose nor as a principal effect to prevent performance of the government's own contractual obligations. To the contrary, the government shipped the silk as soon as the embargo was lifted. *Id.* at 460.

Here, in contrast, the government seeks to avoid its contractual obligation altogether, after full performance by Glendale, in order to benefit the government financially. Pet. App. 45a ("the undisputed reason for limiting the use of the supervisory goodwill was precisely the reason the government used it in the first place—it is a money equivalent, not money"). Moreover, unlike the embargo in *Horowitz*, which affected both public and private contracts, FIRREA's goodwill provisions upset only contracts with the government.

c. The central and express governmental undertaking in Glendale's contract, upon which the entire contract depended, was the government's bargained-for promise to recognize Glendale's goodwill as capital. As demonstrated *supra* pp. 24-25, 28-29, the government contractually assumed the risk that Glendale's rights to use and amortize goodwill over 40 years would be different than those rights available to all thrifts by "statute or rule of law." J.A. 599. The courts charged with primary responsibility for federal government contracts have recognized as a basic

³⁹ Moreover, substantive law that the Constitution forbids the legislature to enact, courts may not create under the guise of "common law." *See, e.g., Detroit United Ry. v. Michigan*, 292 U.S. 238, 247 (1916) (Contract Clause claim).

principle of government contract law that the "sovereign acts" defense cannot excuse the government from its own contractually-assumed risks. *E.g.*, *Freedman v. United States*, 320 F.2d 359, 366 (Ct. Cl. 1963) ("The doctrine . . . laid down in *Horowitz* . . . does not relieve the Government from liability where it has specially undertaken to perform the very act from which it seeks to be excused."); *see Hills Materials Co. v. Rice*, 982 F.2d 514, 516 n.2 (Fed. Cir. 1992).⁴⁰ Thus, this additional reason precludes application of the "sovereign acts" defense to Glendale's contract.⁴¹

CONCLUSION

For the reasons stated, the judgment below should be affirmed.

Respectfully submitted,

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⁴⁰ *See United States v. Bostwick*, 94 U.S. 53, 68-69 (1876), (property damage done by Army before term of government lease began was a noncompensable act of the sovereign, but all damage done during the term was recoverable as a "breach of the contract;" held, "All depends on the contract.").

⁴¹ In any event, even if the government's sovereign acts or authority arguments were to prevail, Glendale would be entitled to restitution, *see, e.g.*, *Gould v. United States*, 67 F.3d 925, 930 (Fed. Cir. 1995); Restatement (Second) of Contracts § 272 cmt. b (1981); 6 *Corbin on Contracts* § 1368, at 519-20 (1962), and, as the government has conceded regarding sovereign acts, to pursue its frustration of purpose and takings claims. Pet. Reply 10 n.6.

APPENDIX

APPENDIX

12 U.S.C. § 1725 (1976).

Creation of Federal Savings and Loan Insurance Corporation

(a) Creation, operation, and offices

There is created a Federal Savings and Loan Insurance Corporation (hereinafter referred to as the "Corporation"), which shall insure the accounts of institutions eligible for insurance as hereinafter provided, and shall be under the direction of the Federal Home Loan Bank Board and operated by it under such bylaws, rules, and regulations as it may prescribe for carrying out the purposes of this subchapter. The principal office of the Corporation shall be in the District of Columbia.

...

(c) Powers

On June 27, 1934, the Corporation shall become a body corporate, and shall be an instrumentality of the United States, and as such shall have power—

- (1) To adopt and use a corporate seal.
- (2) To have succession until dissolved by Act of Congress.
- (3) To make contracts.

* * *

12 U.S.C. § 1729(f) (Supp. V 1982) (amending 12 U.S.C. § 1729(f) (1976))*:

(1) In order to prevent a default in an insured institution or in order to restore an insured institution in default to normal operation, the Corporation is authorized, in its discretion and upon such terms and conditions as it may determine, to make loans to, to purchase the assets of, or to make a contribution to, an insured institution or an insured institution in default.

(2) Whenever an insured institution is in default or, in the judgment of the Corporation, is in danger of default, the Corporation may, in order to facilitate a merger or consolidation of such insured institution with another insured institution or the sale of the assets of such insured institution and the assumption of its liabilities by another insured institution and upon such terms and conditions as the Corporation may determine, purchase any such assets or assume any such liabilities, or make loans to such other insured institution, or guarantee such other insured institution against loss by reason of its merging or consolidating with or assuming the liabilities and purchasing the assets of such insured institution in or in danger of fault.

(3) No contribution or guarantee shall be made pursuant to paragraphs (1) or (2) of this subsection in an amount in excess of that which the Corporation finds to be reasonably necessary to save the cost of liquidating such insured institution in or in danger of default, but if the Corporation determines that the continued operation of such institution is essential to provide adequate savings or home financing services in its community, such limitation upon the amount of a contribution or guarantee shall not apply.

* 12 U.S.C. 1729(f) was amended by the Financial Institutions Regulatory and Interest Rate Control Act of 1978, § 105(b) (2), Pub. L. No. 95-630, 92 Stat. 3641.

Court of Federal Claims Rule 56(d): Summary Judgment

(d) Procedures. The following procedures shall be followed with respect to motions for summary judgment other than in actions seeking review of a decision on the basis of an administrative record:

(1) The moving or cross-moving party shall file, together with its motion, a separate document entitled Proposed Findings of Uncontroverted Fact. This document shall contain concise, separately numbered paragraphs setting forth all of the material facts upon which the party bases its motion and as to which the party believes there is no genuine dispute. Each paragraph shall contain citations to the opposing party's pleadings or to documentary evidence, such as affidavits or exhibits, filed with the motion or otherwise part of the record in the case.

(2) The opposing party shall file, together with its opposition or cross-motion, a separate document entitled Statement of Genuine Issues. This document shall respond by reference to specific paragraph numbers to those proposed findings of uncontroverted fact as to which it claims there is a genuine dispute. The party shall state the precise nature of its disagreement and give its version of the events, supported by record citations. The opposing party may also file proposed findings of uncontroverted fact as to any relevant matters not covered by the moving party's statement.

(3) The party may dispense with the documents called for in subdivision (d)(1)-(2) of this rule if they file, no later than the time of the initial motion, a comprehensive stipulation of all of the material facts upon which they intend to rely.

In determining any motion for summary judgment, the court will, absent persuasive reason to the contrary, deem the material facts claimed and adequately supported by the moving party to be established,

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except to the extent that such material facts are included in the Statement of Genuine Issues and are controverted by affidavit or other written or oral evidence.